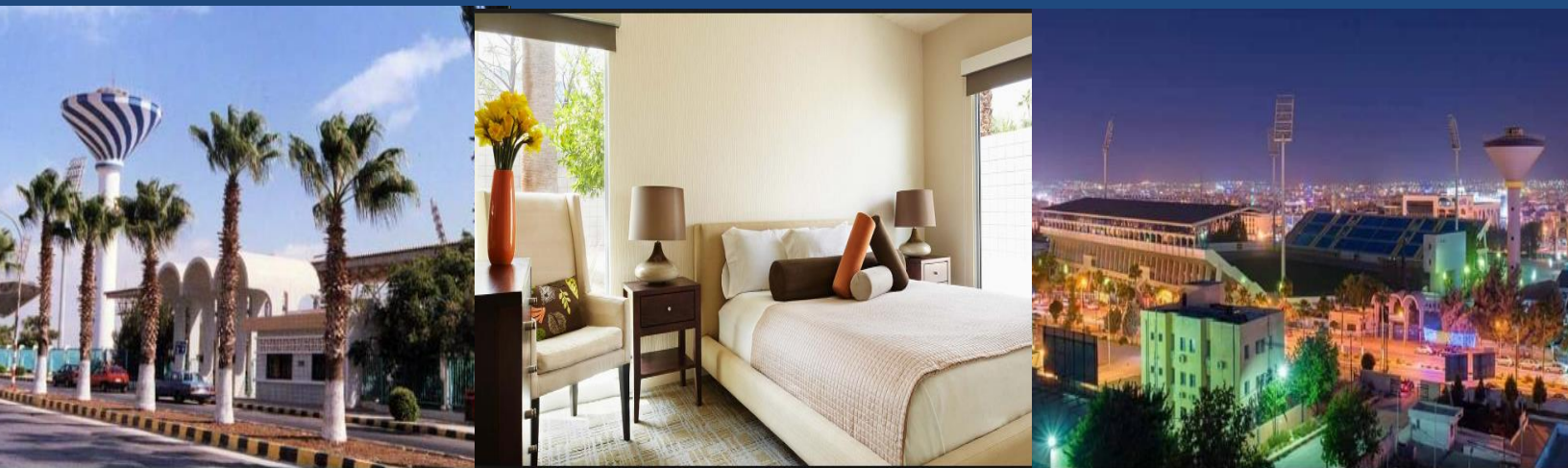


Prefeasibility Study on Establishing a 4-Star Hotel in Irbid governorate



2017



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1. Executive summary

Irbid governorate is located in northern Jordan, 71 km far from Amman, and 20 km far from the Syrian borders. It is considered the second largest governorate in terms of population after Amman. Irbid's population equals to 650 thousand. The estimated area of the city is about 30 sq. km, furthermore, Irbid has valleys and fertile plains.

Irbid's climate is Mediterranean climate, moderate in the summer and cold and rainy in the winter. The temperature in the summer does not exceed 35 degrees, however; the temperature in the winter is low and may reach zero degrees and snow sometimes. The best season of is the spring, where Irbid becomes green and different flowers and plants bloom everywhere.

Irbid has many universities and is considered an attractive area for college students from inside and outside Jordan. It also features many archaeological and tourist areas, however; it lacks a high quality 4-star hotel with high level services hence the idea of this project is to establish a 4-star hotel in Irbid which provides many services and benefits to Irbid's residents, tourists and visitors.

The project is a 4=star hotel that offers lodging services using better technology, and providing quality services. The hotel will have the best equipment, furniture, appliances, furnishings, and specialized services in tourist accommodation, whereas this project is considered one of the most important successful projects throughout the year to attract tourists. The below tables summarizes project main indicators:

Table1 : Project Main Indicators

Indicator	
Total Investment Cost (Jordan Dinars)	3,552,297
Internal Rate of Return (IRR)	%19.25
Pay-Back Period (Years)	6
Net Present Value (Jordan Dinars)	1,955,420
Job Opportunities provided by the Project	80
Total Revenues (For 10 Years)	23,827,730
Total Operating Expenses (For 10 years)	14,513,670
Total Net Profit (For 10 years)	3,419,970

2. Key Highlight of Jordan

Jordan Hashemite Kingdom area is 89342 Kilometers with a population exceed 9.8 Millions distributed among 12 Governorates.

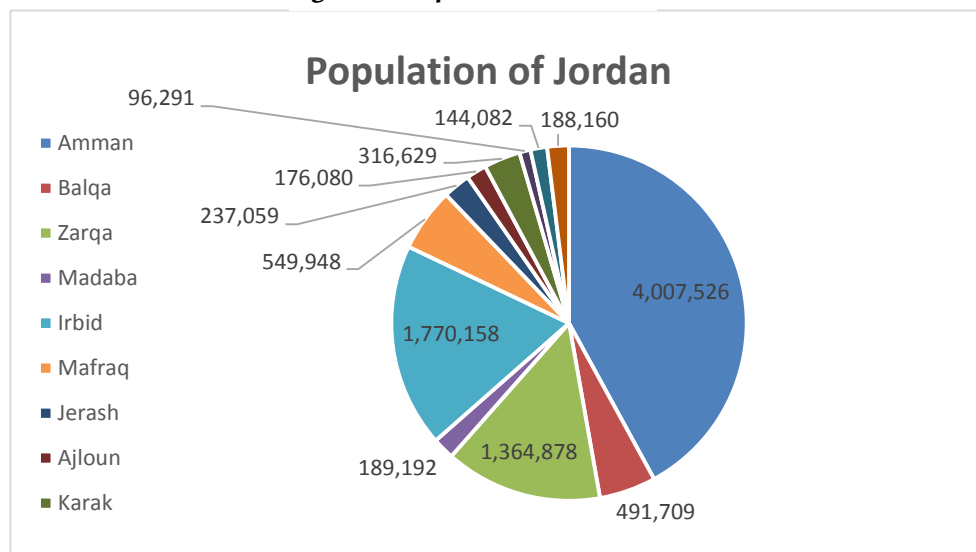
Jordan is bounded by Saudi Arabia, Iraq, Syria and Palestine from the South, East, North and west respectively. Jordan climate is mostly arid desert with rainy season between November to April Months.

Jordan is a free market economy, ranked as the fifth freest economy in the MENA region in the Index of Economic Freedom. Its free market economy enjoys strong partnerships amongst its neighboring country as well as Europe and the USA. Jordan is a signatory of several bilateral and multilateral trade agreements such as (Free Trade Agreement with the US and the EU, a Free Trade Agreement with the EFTA states, an FTA with Singapore, A member of the Greater Arab Free Trade Agreement (GAFTA) and a signatory of the Aghadir Agreement. Looking at the range of countries these agreements cover and facilitate trade between, one is confident to say that Jordan has business gateways and partnerships across the globe.

Population Overview

Based on the latest surveys done by Department of Statistics (DOS) in 2017, total number of population has reached around 9.814.995 with an increase rate of 2.88% from 2016 year, figure below summarizes the population distribution among the kingdom governorates.

Figure 1 :Population of Jordan



Department of Statistics (DOS), 2015

Moreover, and based on the latest survey conducted by (DOS) which related to population nationality distribution over the governorates, it was found that total Non-Jordanian residents constitutes around 30% of the total population. Half of these are Syrians (1.3 Million) concentrated mainly in Amman Capital (436 Thousand) then Irbid (343 Thousand), Mafrq at 208 Thousand and Zarqa at 175 Thousand.

Jordan prides itself in its youthful population with 35% of ages below 15 years old and only 4% with ages above 65 years old. Table below summarizes population distribution of Jordanians according to Age Group:

Table2 Population Distribution according to Age Group:

Age Group	Population %	Males	Females
0-14 Years	%35.04	%19.2	%18.2
15-64 Years	%61.02	%30.7	%28.6
More than 65 Years	%3.94	%1.6	%1.6

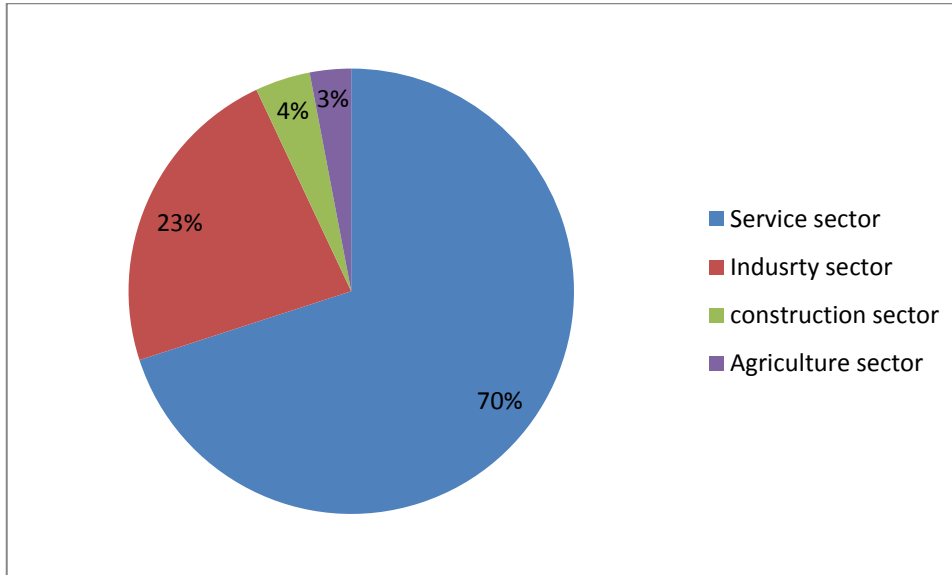
Department of Statistics (DOS), 2015.

Overview of Jordan Economy

Classified as an upper middle economy by the World Bank and as a country of High Human Development by the UNDP, Jordan is an important financial power in the Middle East. Its small market witnessed growth in the last two decades since King Abdullah II accessed the throne. Jordan's GNI per capita has increased in the last four years due to the basket of economic reforms that were enacted in the recent decade such as (the new Income Tax Law, Public Private Partnership Law and Investment Law). These laws aim to encourage the participation of the private sector in the Kingdom's economic development and provide an enabling legislative environment for current and new investment opportunities.

The Jordanian economy is overwhelmingly services oriented and its contribution in the GDP is 68.1%. The contribution of the industrial sector is 22.4%, the construction sector is 4.2% and the agricultural sector is 2.9%. These contributions are aimed to increase to (27.4%), (5.8%) and (3.4%) respectively and that of the service sector is due to decrease according to Jordan 2025 vision.

Figure 2: Sectors Contribution to Jordan's Economy



Jordan's exports include variety of textiles, potassium, phosphates, fertilizers, vegetables and pharmaceutical products. While it's main imports are crude and refined petroleum. Distinguished by its strategic location, on the crossroads between Asia, Africa and Europe with strong connections to the Levant and the GCC, Jordan has a regional market of interest that represents US\$3.8 trillion market and compromising 380 million consumers.

Jordan infrastructure ranks comparatively well (38th out of 148 comparable economies), with an extensive 8000 KM road network connecting Jordan domestically and externally The new Queen Alia International Airport and the Port of Aqaba are the major gateways to the international market. In addition to some mega projects such as the Red- Dead Sea Canal and the national railway network that will be developed to position Jordan as a hub for regional commerce.

Jordan banking system is quite sophisticated, resilient and in compliance with international standards, making it very attractive and trustworthy to investors. This is reflected in the fact that 50% of equity in licensed banks in Jordan is held by non-Jordanians, and non residents' deposits in Jordanian banks witnessed a steady growth of 19.2%.

Moreover, realizing the value of MSMEs to drive economic growth, the government has developed the national Strategy for the encouragement of entrepreneurship and the development of micro small and

medium sized enterprises for 2015-2019. This shows the commitment of the Jordan government to enhance the private sector development and leveraging the country's strong human capital.

Jordan prides itself in its youthful population. It's the country most valuable capital. A tech savvy well educated and trained workforce attracts a lot of investors to Jordan. More than 20.4% of Jordan's GDP is dedicated to the education and capacity building for the labor force, this has resulted in securing a 91% literacy rate and enabled Jordanians to be among most hired and qualified middle-eastern workforce.

Such solid, diverse and resilient characteristics of the Jordanian economy and investment scene position Jordan as a competitive investment destination.

Major Economic Indicators

- **GDP Growth**

The Jordanian economy slowed and reached 2.4 percent in 2015 compared to growth rate of 3.1 in 2014 and similar to MENA growth rates.

The growth also slowed for trade, restaurants and hotels; manufacturing; transport; and electricity and water. Meanwhile, finance, insurance, and business services advanced at a faster pace.

- **Inflation rate**

Inflation rate decreased to 0.9 in 2015 after 2% decline in the previous year. Inflation Rate in Jordan averaged 3.1 percent from 2011 until 2015.

- **Unemployment**

The unemployment rate in Jordan was recorded at 13 percent in 2015, comparing to 11.9 percent a year earlier. This increase due to the current instability in the labor market structure as well as high competition from low cost foreign labors especially from Syria.

- **External Sector**

A number of risks manifested in 2015, the closure of land trade routes with Syria and Iraq and the deepening instability in the region adversely impacted many external sector indicators such as trade, tourism and direct Investment.

Moreover, loans disbursements increased by JD 545.3 million, due to the use of the International and Arab Monetary Funds (IMF and AMF) credit facilities. As an outcome of these developments, the overall balance of the balance of payments registered a surplus of JD 328.7 million in 2015, compared with a surplus of JD 1,550.7 million in 2014.

Further, net international investment position (IIP) witnessed an increase in the Kingdom's net obligations to abroad; to reach JD 24,357.5 million, compared to a net obligation of JD 22,578.8 million at the end of 2014 as a result of the increase in the stock of external financial assets and liabilities of all resident economic sectors to reach JD 18,657.9 million and JD 43,015.5 million; respectively.

External Debt in Jordan increased to 9390.50 JOD Million in 2015 from 8030.10 JOD Million in 2014. External Debt in Jordan averaged 5433.67 JOD Million from 1988 until 2015, reaching an all time high of 9390.50 JOD Million in 2015 and a record low of 3640.20 JOD Million in 2008.

Investment Climate in Jordan

Investment in Jordan is considered as one of the vital sources to boost the economy considering that Jordan's economy is among the smallest in the Middle East, with insufficient supplies of water, oil, and other natural resources, underlying the government's heavy reliance on foreign assistance.

The country's location, supported by myriad free trade agreements (FTAs) offering access to 1.5bn consumers, enables the kingdom to be a strategic trade route to many of its neighboring countries and regions.

Jordan aspires to create a competitive investment destination capitalizing on its many advantages mentioned above. The government focused its efforts to implement significant advances in structural and legal reform. These efforts are represented in the new Investment Law of 2014, the tax law, in addition to other endeavors related to providing greater access to credit for MSMEs, and by providing greater investment incentives to specific priority sectors identified by the new Investment law and the Jordan 2025 vision.

Furthermore, in its endeavor to enhance the business environment, several geographically industrial states were created across the kingdom. These range in type to include (industrial estates, free zones and special economic zones). Under the new Investment Law, these zones are given a number of incentives that include a tax rate of 0% on exports, sales tax, import duties, social service tax, dividends tax and a 5% income tax from all economic and manufacturing activities undertaken in the development zones. As for the investments in Free Zones, they enjoy Exemptions from customs duties, income tax exemptions and exemptions from land and building taxes among others. Both development and free zones also enjoy facilitations regarding visa and residency permits for investors and workers in addition to Repatriation of capital and profits in a convertible currency. Such estates have succeeded in attracting relatively large amounts of FDI to Jordan.

Key National Investment Priorities:

Jordan Investment commission worked on taking a leading role in the application of government policies to promote and attract domestic and foreign investments and create an investment environment that stimulates economic performance through investment promotion strategy launched in 2016

Jordan investment commission aims to:

- Regulating the special provisions governing Development Zones and Free Zones in the Kingdom and developing them placing them in service of the national economy as well as monitoring their functioning.
- Developing plan and programs to stimulate domestic and foreign investments.
- Establishing trade centers and organizing exhibitions as well as opening markets and organizing trade missions in order to promote national products, in addition to marketing and development of national exports and encouraging investment.
- Taking appropriate decisions related to private or public institutions to improve Investors' confidence in Jordan's investment environment.

3. Market analysis

Project Description

The idea of the project is to establish a 4-star hotel, to target visitors, tourists, residents especially in holidays, whereas Irbid lacks for a high qualified hotel that offers the best hotel services in spite of its large size and existence of universities.

Project Objectives

Project objectives:

- Promote tourism in the governorate.
- Achieve profit income for project owners
- Provide a relaxation and entertainment station for the public
- Improve the economy in in the governorate
- Provide job opportunities and reduce unemployment

Proposed Services

The hotel will be modern and will offer services and facilities according to international standards to serve all segments of society. It will provide hotel services such as accommodation, food and beverage services for hotel's guests. The Project's capacity equals to 100 rooms, and will conform to specifications set by the Ministry of Tourism. The hotel will also include the following services and facilities:

- Buffet and restaurant: Equipped with furniture, decorations, cooking appliances, refrigerators and other supplies to make various international dishes in a modern way.
- Swimming pools: all are equipped with water sterilization devices, pumps, filters and various health pool accessories plus custom pools for children and women.
- Halls for meetings and other services. In addition to a parking large enough for all guests and visitors.
- Gymnasium
- Business Center
- A special Facility for the necessary services of massage, Jacuzzi and sauna.

Target Segments

Target customers would probably be from the Arabian Gulf, especially in the summer period, in addition to college students, families, and Irbid's residents.

There are three main facilities targeted by visitors and tourists in the hotel:

Large wedding Hall: Accommodates up to 300 people, ready for wedding service, events and activities for governorate's residents with high quality specifications, equipped with all necessary hotel services, various lighting equipment, audio devices and presentation.

- 1- **Swimming pools for children, adults and women:** since there is only one pool exists in Hassan youth City (Olympic pool) and other small local pools, with an increasing number of people and high demand, these pools became unable to serve all people, and that is an important element in the project.
- 2- **Guest service and bedrooms:** The establishment of the first 4-star tourist hotel in Irbid will boost the economy and tourism in the region since it will serve its residents, and will be a comfortable station for many.

Market Size Analysis

Irbid's population reached 1,770,158 in 2015 and the number of foreign tourists reached 20019 . Jordanians visitors from different governorates reached 120147.

(Source: Ministry of Tourism)

Irbid is considered a less active area in the tourism sector despite its large population and the existence of many tourist attractions, as for the hotels, Irbid has some hotels ranging from one star to 3 stars only, with an occupancy rate of no more than 25%. However, the city has many large event halls, wedding and meetings halls with an occupancy rate of 45-95%.

Competitors Analysis

According to the Ministry of Tourism's data, there are no hotels in Irbid rated as (4 star).

The following table shows the established hotels in Irbid:

Project Capacity

Table 3: Number of hotels, rooms, beds in Irbid governorate

Irbid governorate	Hotels	Suite	Room	Bed
3-stars	2	14	147	318
2-stars	1		33	50
1-star	5	3	86	179
Total	8	17	266	547

The following table shows the project capacity:

Table 4: project capacity

Capacity	
Rooms	100
Restaurants	150
Wedding hall	300

Expected Occupancy Rates

The following table shows the occupancy rate for 10 years from the beginning of the project:

Table 5: annual occupancy rate

Year	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Occupancy rate	35%	35%	45%	45%	45%	45%	45%	45%	45%	45%
Percentage of restaurants' visitors	60%	60%	60%	60%	60%	60%	60%	60%	60%	60%
number pool users other than guests	300	300	300	300	300	300	300	300	300	300
Wedding Hall rental average price	100	100	100	120	120	120	120	120	120	120
The average number wedding halls attendants	75%	75%	75%	75%	80%	80%	80%	80%	80%	80%

Price Analysis and Pricing Policy

The following table shows the prices and reservations for 10 years of the project start date :

Table 6: Price assumptions

Reservations and prices analysis	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Room price (JD/night)	75	77	80	82	84	87	90	92	95	98
Meal price	15	15	16	16	17	17	18	18	19	20
Pool interance fees for non-guests	10	10	11	11	11	12	12	12	13	13
Hall rental price (JD/person)	15	15	16	16	17	17	18	18	19	20

Expected Revenues

The following table shows the projects expected revenues:

Table 7: Expected revenues

Expected revenues	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
-------------------	------	------	------	------	------	------	------	------	------	------

Room revenues	9555	98416	130331	134241	138268	142416	146689	151090	155622	160291
Restaurant revenues	4914	50614	521326	536966	553075	569667	586757	604360	622491	641166
Hall revenues	3375	34762	358054	442554	486220	500806	515831	531306	547245	563662
Pool revenues for non-guests	3000	3090	3183	3278	3377	3478	3582	3690	3800	3914

4. Technical analysis

Required Human Resources

The following table shows the required human resources for the project:

Table 8: Required human resources

Job title	Number
Indirect employees	
General manager	1
Accountant	5
Marketing director	1
Marketing supervisor	3
Guard	5
Total indirect employees	15
Direct employees	
Receptionist	4
Cooker	1
Cooker assistant	5
Waiter	25
Janitors	30
Total direct employees	65

Job Description:

General Manager: Working solo and within his authority and propose policies and action plans for marketing the hotel, and representing the company , planning, workflow management, and follow up the implementation of plans and programs where it should be consistent with the established policies, objectives and goals of the company, overseeing the management of administrative and financial

aspects of the project where it should be consistent with the approved instructions, manage subordinates and develop their skills, and develop procedures and ensure occupational health and safety supplies.

- **Marketing Manager:** Planning, directing and coordinating all marketing activities for local hotel products and develop a website for the hotel to be booked using internal and external website.
- **Accountant:** responsible for accounting the hotel costs besides entering all accounting entries on the books of accounts.
- **Guard:** implement security instructions to maintain the security system.
- **Receptionist:** receive guests in a professional manner and instructing them within the hotel as well as to receive and convert daily telephone calls to and from the hotel and receive various types of mail coming to hotel , and register guests names and entry and exit time.
- **Cook:** prepare and cook food at the kitchen.
- **Cooker Assistant:** assist the Cook to prepare and cook food, and respond to requests within the system.
- **Waiter:** serving food and drinks and give advices for guests, setting up tables and greet guests and accompany them to the table, provide menus and beverages and receive the guests ' requests, and receive food and beverages ready from the kitchen crew to the guest.
- **Cleaners:** cleaning and polishing and disinfection for the senior management offices, bedrooms bathrooms and stairs.

Location Analysis

It is suggested that the project will be in a quiet area near the governorate's downtown and near all the area services. There are several areas suitable for the project such as:

- **Petra Street area near the Al Hussein gardens:** as the price per meter ranges between JD 200-225 / m², the area's advantage is its proximity to several places such :
 - 1- Amman transport complex (900 m)
 - 2- Irbid city center (1.5 Km)
 - 3- University of science and technology (8 Km)

- 4- Yarmook university (2 Km)
- 5- Jordanian Heritage Museum (2 Km)
- 6- Dar alsaraya museum (3 Km)
- 7- Arbella mall (2.5 Km)
- 8- Al Hassan international Stadium (2 Km)
- 9- University road (2.5 Km)
- Alrahbat alwardya hospital area: as the price per meter ranges between JD 200-225 / m², the area's advantage is its proximity to several places such:
 - 1- Alrahbat alwardya hospital
 - 2- Amman- Irbid main road
 - 3- Irbid city center (1 Km)
 - 4- Yarmook University (2 Km)
 - 5- University road (2 Km)
 - 6- Arabella Mall (1.5 Km)
 - 7- Down -town (1.5 Km)

Technical Requirements Analysis

Land and construction works

The project will be established on a 3000 m² land. The following table shows the required land:

Table 9: Required land

Land	Area (m ²)
Required land	3,000

The following table shows the required construction work for the project:

Table 10: Required construction work

Construction work	Area (m ²)
Building work	4,500

Building design and schemes	4,500
Excavation work	3,000
Surface construction	1,000

Where the Hotel will consist of 4 floors, two of them are underground; area per floor will be 750 m2.

Machinery and Equipment

The following table shows the required machinery and equipment needed for the project:

Table 11: Required machinery and equipment

Machinery and equipment	Quantity
Firefighting equipment's	5
Elevator	4
Computers	15
Central air conditioner	1
42 inch screen	5
Washing machines	6
Steam iron stand	20

Furniture Requirements

The following table shows the required furniture and furnishings

Table 12: Required furniture and furnishings

Furniture and furnishings	Quantity
Beds	160
TVs	100
Refrigerators	100
Room furniture	100
Swimming pool	1
Wedding hall supplements	1
Hall and restaurants tables	200
Chairs fir the hall, restaurant, meeting room	750
Restaurant cooking equipment	1

Vehicles Requirements

The following table shows the required vehicles and transportation:

Table 13: Required Vehicles

Vehicles	Quantity
Pick-up	1

Legal Procedures:

Legal Procedures:

Initial Licensing Procedures:

4-star hotel - Irbid governorate

1. Filling out a Licensing Proposal Form.
2. Ownership deed or rent contract duly certified.
3. A recent site-zoning plan.
4. Land plan issued by Department of Lands and Survey/ recent.
5. Zoning scheme (issued by concerned bodies).
6. Presentation of preliminary architectural blueprints for compliance with requested classification grade after being certified by the Civil Defense Directorate and Greater Amman Municipality (Department of Special Needs).
7. Clarification of expected environmental impact of the project in areas lying outside zoning boundaries.

After the completion of the presentation of the above documents and requirements, together with the physical inspection and approval of the Tourism Committee on the recommendations of the Technical Committee, the Minister issues a preliminary conditional approval for the project valid for two years, of which the owners of the hotel company are informed.

After completion of the preliminary approval necessary to execute the project, realization of conditions and requirements, and furnishing of material assets, concerned parties submit a written request for the physical inspection and completion of licensing procedures and classifications according to requirements, after providing the following documents and requirements:

1. Two copies of detailed architectural blueprints as built, duly certified
2. Occupancy permit issued by concerned parties.
3. Approval by Civil Defense to allow receiving guests.
4. Trade name registration at the Ministry of Trade and Industry, or trade mark.

After completion of all above procedures, technical and classification committees visit the site to compare the executed building with the architectural blueprints presented to the Ministry and prepare a report to determine the appropriate classification grade, which is presented to the Tourism Committee for approval to classify and license the establishment in the suitable grade.

The Minister forwards a written notification to the owner of the establishment informing him/her of the classification decision based on the site visit comparing what has been executed with the architectural plans presented to the Ministry and the report defining the appropriate grade of classification presented to the Tourism Committee for approval and licensing.

The Minister forwards the written notification to the owner of the establishment informing him/her of the classification decision based on the recommendations of the Tourism Committee.

The decision may be contested within a period of 15 days from the date of issue. Moreover, the concerned party is requested to provide the Ministry with the following documents and requirements:

1. A membership certificate and subscription to the Jordan Hotel Association.
2. A copy of membership and subscription to the Jordan Tourism Board for hotels of three stars and above, as well as hotel suites of grades (A-B).
3. The hotel establishment is licensed in its final form after settling the due fees.

5. Financial Analysis

The Financial Part illustrates all the assumptions which were used when we have developed the study including project expenses related to capital expenditures, operating expenses (Fixed and Variable costs) followed by illustrating project revenues.

Assumptions

Calculation Assumptions:

- The weighted average cost of capital used in the study is 12.26% as it was calculated considering risk free and debt Interest rates as well as Market risk premiums to consider alternative opportunity costs for investor.
- Income tax on the net project income is 5 % during the life time of the project.
- Project working capital has been estimated and added to project cash outflows at the beginning of the project and annual increase in working capital has been also estimated and added to the operating expenses then net working capital has been added to total cash inflows at the end of project lifetime.

The time span for the financial study is 10 years starting from 2018, where annual increase rates have been estimated as per the tables below:

Assumptions

Table 14: General Assumptions

General Information	
All Financial Numbers (Currency)	Jordan Dinars
Financial Study Time Span (Years)	10
Expected Project First Operating Year	2018
Last Year in the Financial Study	2027

Table 15: Currency Exchange Rates

Exchange Rates	Jordan Dinars
American Dollar	0.708
Euro	0.760

Table 16: Annual Growth Rates Assumptions

Annual Growth Rates	Average
Annual Population Growth Rate	2.20%
Annual Sales Price Increase Rate	3.00%
Annual Expenses Increase Rate	3.00%
Annual Increase Rate in Employees Salaries	4.1%

(1) and (2) Source: Inflation Rates, Central Bank of Jordan

(3) Source: Social Security

Table 17: Expenses Assumptions

Expenses Assumptions	
Raw Materials and Packaging from Total Revenues	25%
Utilities Expenses from Total Revenues	12.5%
Maintenance Expenses from Total Revenues	2%
Depreciation Expenses from Total Revenues	1.0%
Insurance Expenses from Total Assets Value	0.75%
Marketing Expenses from Total Revenues	4%

Table 18: Income Tax Assumptions

Income Tax Assumptions	Value
(1) Average Income Tax in Jordan	20%
(2) Income Tax Deduction	60%
Income Tax after Deduction	8%
(3) Compulsary Reserve Percentage	10%
Other Assumptions	Value
(1) Annual Monthly Salaries have been calculated after multiplying monthly salaries by:	16

Risk Premium	
(1) Risk Free Rate of Return	6.50%
(2) Return to Debt Maturity	9.48%
(3) Market Risk Premium	10.12%
Income Tax Rate	%20
(4) Beta	0.89
Growth Rate	4.00%

(1) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(2) Source :Central Bank of Jordan

(3) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(4) Source :Damodoran Beta By Sector, , pages.stern.nyu.edu

Table 19: Weighted Average Cost of Capital

Weighted Average Cost of Capital	
Average Return on Risk Free Investment	%6.50
Return to Debt Maturity	%9.48
Market Risk Premium	%10.12
Income Tax Rate	%8
Bets	0.89
Equity	1,420,919
Loans Value	2,131,378
Loans	

Cost of Borrowing before Tax	%9.48
Cost of Borrowing After Tax	%8.72
Loans Value	2,131,378
Loans Percentage	%60
Equity	
Cost of Equity	%15.5
Equity Value	1,420,919
Equity Percentage	%40
Gross	
Project Value	3,552,297
Weighted Average Cost of Capital	%11.44

Capital Expenditures

The estimated cost of the project is 3,103,390 JD and it covers land costs, construction works, machinery and equipment, furniture, pre-operating expenses and working capital. The following tables summarize the details of these expenses:

Table 20: Land Capital Expenditure

Land	(Jordan Dinar/Meters Square) Cost	Area (M2)	Cost
Required Land	200	3,000	600,000
Cost			600,000

Table 21: Construction Work Capital Expenditure

Description	Cost (JOD per Squared Meters)	Area (Squared Meters)	Gross / Cost
Construction Works	350	4,500	1,575,000
Design and blueprints	7	4,500	31,500
Excavation	5	3,000	15,000
Paving	12	1,000	12,000
Soil Test	200	1	200
Other Works	10	7,000	70,000
Total			1,703,700

Table 22: Machinery and equipments Capital Expenditure

Machinery and equipment	No.	Price (JD/unit)	Total cost
Fire fighting equipment	5	500	2,500
Elevator	4	15,000	60,000
Computers	15	350	5,250
Central air conditioner	1	45,000	45,000
42 inch screen	5	250	1,250
Washing machines	6	3,000	18,000
Steam iron stand	20	75	1,500
Total (JD)			133,500

Table 23: Furniture and furnishingsCapital Expenditures

Furniture and furnishings	No.	Price (JD/unit)	Total cost
bedroom	160	750	120,000
Television	100	200	20,000
Refrigerators	100	100	10,000
Room furniture	100	1,000	100,000
A swimming pool	1	30,000	30,000
wedding lounge Accessories	1	5,000	5,000
Restaurant and Wedding Hall tables	200	150	30,000
restaurant and ballroom and meeting room chairs	750	50	37,500
Restaurant cooking equipment	1	50,000	50,000
Total			402,500

Table 24: Transporation and Vehicles Capex

Transporation and Vehicles	No	Unit Cost/JOD	Total Cost/JOD
Pick up	1	23,400	23,400
Total			23,400

Table 25: Pre Operating Expenses

Pre-operating expenses	Estimated cost (JD)
Governmental fees	1,500
Transportation	1,500
Marketing	15,000
Training	2,500
Total	20,500

The initial working capital reflects the project's amounts needed to cover all the expenses during operation until the project starts generating income, the following table shows the components of the initial working capital:

Table 26: Working Capital

Working Capital	No. of Months	%	Estimated Cost (JD)
Operating expenses	3	%25	279,872
General and administrative expenses	3	%25	7,816
Marketing expenses	3	%25	17,874
Indirect Salaries	3	%25	40,200
Total			345,761

Table 27: Expenses Summary

Capital expenditure summary	Cost (JD)	Contingency	Cost (JD)	%
Land	600,000	10%	660,000	%18.6
Construction works	1,703,700	10%	1,874,070	%52.8
Machinery & Equipment	133,500	10%	146,850	%4.1
Furniture	402,500	10%	442,750	%12.5
Vehicles	23,400	10%	25,740	%0.7
Pre-Operating Expenses	20,500	10%	22,550	%0.6
Working capital	345,761	10%	380,337	%10.7
Total (JD)	3,229,361		3,552,297	100%

Sources of Funding

The financing structure of the project consists of loans and Equity. The investment cost of this project is estimated at (874,424) JD, where 40% of the project will be financed through loans (349,770) JD, and the remaining (60%) through (Equity) with (524,655) JD. The following table summarizes the general structure of the required financing:

Table 28: Sources of Funding

Funding Sources	Amount	Percentage
Equity (Self Financing)	1,420,919	%40
Loans	2,131,378	%60
Total	3,552,297	%100
Use of Fund:	Value	Ratio
Capital Expenditures	3,149,410	%88.66
Pre-Operating Expenses	22,550	%0.63
Working Capital	380,337	%10.71
Total	3,552,297	%100.00

Operating Expenses

The following table summarizes the expected operating expenses for the proposed project (2018-2027):

Table 29: Operating Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Raw Materials and Packaging from Revenues	446,850	460,256	546,470	581,303	606,340	624,530	643,266	662,564	682,441	702,914
Utilities from Revenues	223,425	230,128	273,235	290,652	303,170	312,265	321,633	331,282	341,220	351,457
Maintenance from Revenues	35,748	36,820	43,718	46,504	48,507	49,962	51,461	53,005	54,595	56,233
Disposables from Revenues	17,874	18,410	21,859	23,252	24,254	24,981	25,731	26,503	27,298	28,117
Direct Salaries	323,200	336,451	350,246	364,606	379,555	395,116	411,316	428,180	445,735	464,011
Others	72,390	74,561	88,528	94,171	98,227	101,174	104,209	107,335	110,555	113,872
Total	1,119,48	1,156,62	1,324,05	1,400,48	1,460,05	1,508,02	1,557,61	1,608,86	1,661,84	1,716,60

General and Administrative Expenses

The following table summarizes the expected general and administrative expenses for the proposed project (2018-2027):

Table 30: General and Administrative Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Telecom	1,200	1,236	1,273	1,311	1,351	1,391	1,433	1,476	1,520	1,566
Hospitality	600	618	637	656	675	696	716	738	760	783
Stationary and Printing	250	258	265	273	281	290	299	307	317	326
Transportation	750	773	796	820	844	869	896	922	950	979
Training	0	0	0	0	0	0	0	0	0	0
Insurance	2,000	2,060	2,122	2,185	2,251	2,319	2,388	2,460	2,534	2,610
Miscellaneous	23,621	24,329	25,059	25,811	26,585	27,383	28,204	29,050	29,922	30,819
Total	2,842	2,927	3,015	3,106	3,199	3,295	3,394	3,495	3,600	3,708

Marketing Expenses

Table 31: Marketing Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Marketing Expenses	71,496	73,641	87,435	93,009	97,014	99,925	102,923	106,010	109,191	112,466

Human Resources

The total annual salaries and monthly wages has been estimated on 16 months for the purpose of considering annual increments on salaries as well as payments related to social security and health insurance,... etc.

The following table summerizes the expected annual salaries and wages, considering annual increment on salaries as per the income statement:

Table 32: Expected Annual Salaries and Wges (2018-2027)

Job Title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect Employees										
General Manager	2,500	2,603	2,709	2,820	2,936	3,056	3,182	3,312	3,448	3,589
Accountant	600	625	650	677	705	734	764	795	827	861
Marketing Manager	1,200	1,249	1,300	1,354	1,409	1,467	1,527	1,590	1,655	1,723
Marketing Representative	800	833	867	902	939	978	1,018	1,060	1,103	1,149
Gurad	190	198	206	214	223	232	242	252	262	273
Direct Employees										
Receptionst	300	312	325	338	352	367	382	397	414	431
Chef	1,500	1,562	1,626	1,692	1,762	1,834	1,909	1,987	2,069	2,154
Assistant Chef	800	833	867	902	939	978	1,018	1,060	1,103	1,149
Waiter	300	312	325	338	352	367	382	397	414	431
Cleaning Labor	200	208	217	226	235	245	255	265	276	287

Table 33: Annual Expected Salaries

Job Title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect Employees										
General Manager	40,000	41,640	43,347	45,124	46,975	48,901	50,905	52,993	55,165	57,427
Accountant	48,000	49,968	52,017	54,149	56,369	58,681	61,087	63,591	66,198	68,912
Marketing Manager	19,200	19,987	20,807	21,660	22,548	23,472	24,435	25,436	26,479	27,565
Marketing Representative	38,400	39,974	41,613	43,319	45,096	46,945	48,869	50,873	52,959	55,130
Guards	15,200	15,823	16,472	17,147	17,850	18,582	19,344	20,137	20,963	21,822
Total Indirect Salaries	160,800	167,393	174,256	181,400	188,838	196,580	204,640	213,030	221,764	230,857
Direct Employees										
Receptionist	19,200	19,987	20,807	21,660	22,548	23,472	24,435	25,436	26,479	27,565
Chef	24,000	24,984	26,008	27,075	28,185	29,340	30,543	31,796	33,099	34,456
Assistant Chef	64,000	66,624	69,356	72,199	75,159	78,241	81,449	84,788	88,264	91,883
Waiter	120,000	124,920	130,042	135,373	140,924	146,702	152,716	158,978	165,496	172,281
Cleaning Labor	96,000	99,936	104,033	108,299	112,739	117,361	122,173	127,182	132,397	137,825
Total Direct Salaries	323,200	336,451	350,246	364,606	379,555	395,116	411,316	428,180	445,735	464,011
Total	484,000	503,844	524,502	546,006	568,392	591,697	615,956	641,210	667,500	694,867

Depreciations

The following tables illustrate cost of Capex and Depreciation rates:

Table 34: Capex and Depreciation Expenses

Capex Cost and Annual Depreciation Rates	Cost (JOD)	Depreciation Rate	Annual Additions Percentage
Land	660,000	%0.0	%0.0
Construction Works	1,874,070	%5.0	%0.0
Machinaries	146,850	%10.0	%2.0
Furniture	442,750	%10.0	%5.0
Vehicles	25,740	%10.0	%0.0

Table 35: Depreciations and Additions on Construction Works

Capex, Annual Additions and Depreciations	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Fixed Assets	3,149,41	3,174,48	3,200,72	3,228,18	3,256,93	3,287,01	3,318,51	3,351,48	3,386,01	3,422,16
Total Depreciation Expenses	155,238	157,745	160,369	163,115	165,990	168,998	172,148	175,445	178,898	182,512
Total Accumulated Depreciation	155,238	312,982	473,351	636,467	802,456	971,454	1,143,60	1,319,04	1,497,94	1,680,45
Total Additions	0	25,075	26,240	27,462	28,744	30,087	31,496	32,974	34,523	36,148
Total Net Book Values	2,994,17	2,861,50	2,727,37	2,591,72	2,454,47	2,315,56	2,174,91	2,032,44	1,888,06	1,741,70
Loan										

The table below summarizes all details related to the loan such as annual installments and payment methods for the remaining amount of the loan for each year of the project.

Table 36: Loan Details

Loan Value	2,131,378			
Annual Interest Rate	9.48%			
Loans Period	5			
Grace Period	1			
Loan Starts at year:	2018			
Annual Payment	554,803			
Number of Payments	5			

Year	Annual Payment	Interest	Capital	Loan Remaining Value
2018				2,131,378
2019	554,803	202,055	352,748	1,778,630
2020	554,803	168,614	386,189	1,392,442
2021	554,803	132,003	422,799	969,642
2022	554,803	91,922	462,881	506,762
2023	554,803	48,041	506,762	0

Income Statement

Table 37: Income Statement

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Revenues										
Sales Revenues	1,787,400	1,841,022	2,185,878	2,325,214	2,425,359	2,498,120	2,573,063	2,650,255	2,729,763	2,811,656
Gross Operating Revenues	1,787,400	1,841,022	2,185,878	2,325,214	2,425,359	2,498,120	2,573,063	2,650,255	2,729,763	2,811,656
Operating Expenses	-1,119,487	-1,156,627	-1,324,055	-1,400,489	-1,460,052	-1,508,029	-1,557,616	-1,608,869	-1,661,845	-1,716,603
Gross Operating Profit	667,913	684,395	861,824	924,725	965,307	990,091	1,015,447	1,041,386	1,067,918	1,095,052
<i>Gross Profit Percentage</i>	<i>%37</i>	<i>%37</i>	<i>%39</i>	<i>%40</i>	<i>%40</i>	<i>%40</i>	<i>%39</i>	<i>%39</i>	<i>%39</i>	<i>%39</i>
Salaries and Benefits (Indirect Staff)	-160,800	-167,393	-174,256	-181,400	-188,838	-196,580	-204,640	-213,030	-221,764	-230,857
General and Administraive Expenses	-31,263	-32,201	-33,167	-34,162	-35,186	-36,242	-37,329	-38,449	-39,603	-40,791
Markeing Expenses	-71,496	-73,641	-87,435	-93,009	-97,014	-99,925	-102,923	-106,010	-109,191	-112,466
Pre Operating Expenses	-22,550									
Gross Indirect Expenses	-286,109	-273,234	-294,858	-308,570	-321,039	-332,747	-344,892	-357,489	-370,558	-384,114
Income before Interest,	381,805	411,161	566,966	616,155	644,268	657,344	670,556	683,897	697,361	710,939

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Depreciation and Tax										
Fixed Assets										
Depreciations	-155,238	-157,745	-160,369	-163,115	-165,990	-168,998	-172,148	-175,445	-178,898	-182,512
Income before Tax and Interests	226,567	253,416	406,597	453,040	478,279	488,346	498,408	508,452	518,463	528,426
Bank Interests	(168,379)	(140,512)	(110,003)	(76,602)	(40,034)	(0)	(0)	(0)	(0)	(0)
Income Before Tax	58,188	112,905	296,594	376,438	438,245	488,346	498,408	508,452	518,463	528,426
Income Tax	(2,909)	(5,645)	(14,830)	(18,822)	(21,912)	(24,417)	(24,920)	(25,423)	(25,923)	(26,421)
Net Profit	55,279	107,259	281,765	357,616	416,332	463,929	473,487	483,029	492,540	502,005
Net Profit Percentage	%3	%6	%13	%15	%17	%19	%18	%18	%18	%18
Compulsory Reserves	(5,528)	(10,726)	(28,176)	(35,762)	(41,633)	(46,393)	(47,349)	(48,303)	(49,254)	(50,201)
Retained Earnings	49,751	146,284	399,873	721,727	1,096,426	1,513,962	1,940,101	2,374,827	2,818,112	3,269,917

Expected Cashflows Statement

The table below summarizes project cashflows statement, where net cash flows are positive during all years as below:

Table 38: Expected Cashflows

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cash Inflows from Operating Activities										
Net Profit	22,551	78,018	252,626	332,228	395,819	449,278	458,535	467,775	476,986	486,152
Bank Interests	202,055	168,614	132,003	91,922	48,041	0	0	0	0	0
Depreciation	155,238	157,745	160,369	163,115	165,990	168,998	172,148	175,445	178,898	182,512
Total Operating Cashflows before Additions to Working Capital	379,844	404,377	544,999	587,265	609,849	618,276	630,683	643,221	655,883	668,665
Inventory (Increase/Decrease)	-37,238	-1,117	-7,185	-2,903	-2,086	-1,516	-1,561	-1,608	-1,656	-1,706
Accounts Receivables (Increase/Decrease)	0	0	0	0	0	0	0	0	0	0
Accounts Payables (Increase/Decrease)	112,106	3,956	13,536	6,933	5,755	4,964	5,142	5,326	5,517	5,714
Working Capital (Increase/Decrease)	74,869	2,839	6,351	4,031	3,668	3,449	3,581	3,718	3,860	4,008
Net Cashflows from Operating Activities	454,712	407,216	551,350	591,296	613,518	621,725	634,264	646,938	659,744	672,673

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cashflows from Investments										
Activities										
Fixed Assets (Procurement)	3,149,410	-25,075	-26,240	-27,462	-28,744	-30,087	-31,496	-32,974	-34,523	-36,148
	-									
Net Cashflows from Investments	3,149,410	-25,075	-26,240	-27,462	-28,744	-30,087	-31,496	-32,974	-34,523	-36,148
Activities	-									
Cashflows from Financing										
Activities										
Capital	1,420,919									
Loan Amortization	-352,748	-386,189	-422,799	-462,881	-506,762	0	0	0	0	0
Bank Interest Rate	-202,055	-168,614	-132,003	-91,922	-48,041	-0	-0	-0	-0	-0
Loans	2,131,378	0	0	0	0	0	0	0	0	0
Net Cashflows from Financing	2,997,495	-554,803	-554,803	-554,803	-554,803	0	0	0	0	0
Activities										
Net (Increase/Decrease) in Cash	302,797	-172,662	-29,693	9,031	29,971	591,638	602,767	613,965	625,220	636,525
Cashflows at the Beginning of Period	0	302,797	130,135	100,442	109,473	139,444	731,082	1,333,849	1,947,814	2,573,034
Cashflows at the End of Period	302,797	130,135	100,442	109,473	139,444	731,082	1,333,849	1,947,814	2,573,034	3,209,559

Expected Balance Sheet

The balance sheet is one of the main statements which the project depends on, as it reflects the financial position of the entity and is usually estimated on the last day of the financial year.

All financial information and analysis of the project shall be the estimated for the years (2018-2027) as shown in the table below:

Table 39: Expected Balance Sheet

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Assets										
Current Assets										
Cash	302,797	130,135	100,442	109,473	139,444	731,082	1,333,849	1,947,814	2,573,034	3,209,559
Inventory	37,238	38,355	45,539	48,442	50,528	52,044	53,605	55,214	56,870	58,576
Accounts Receivable	0	0	0	0	0	0	0	0	0	0
Total current Assets	340,034	168,490	145,982	157,915	189,973	783,126	1,387,455	2,003,028	2,629,904	3,268,135
Non Current Assets										
Fixed Assets (net)	2,994,173	2,861,502	2,727,373	2,591,720	2,454,474	2,315,563	2,174,912	2,032,441	1,888,066	1,741,702
Total Non Current	2,994,173	2,861,502	2,727,373	2,591,720	2,454,474	2,315,563	2,174,912	2,032,441	1,888,066	1,741,702
Assets										
Total Assets	3,334,207	3,029,992	2,873,355	2,749,636	2,644,447	3,098,690	3,562,367	4,035,468	4,517,970	5,009,837
Liabilities										
Current Liabilities										
Paybles	112,106	116,062	129,597	136,531	142,285	147,250	152,392	157,717	163,234	168,948

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Remaining amount of Loan	386,189	422,799	462,881	506,762	0-	0-	0-	0-	0-	0
Total current Liabilities	498,295	538,861	592,478	643,293	142,285	147,250	152,392	157,717	163,234	168,948
Non Current Liabilities										
Long Terms Loans	1,392,442	969,642	506,762	0	0	0	0	0	0	0
Total Long Term Liabilities	1,392,442	969,642	506,762	0	0	0	0	0	0	0
Total Liabilities	1,890,736	1,508,504	1,099,240	643,293	142,285	147,250	152,392	157,717	163,234	168,948
Owners Equity										
Shareholders Contributions	1,420,919	1,420,919	1,420,919	1,420,919	1,420,919	1,420,919	1,420,919	1,420,919	1,420,919	1,420,919
Statutory Reseve	2,255	10,057	35,320	68,542	108,124	153,052	198,906	245,683	293,382	341,997
Retained Profits	20,296	90,513	317,876	616,882	973,118	1,377,469	1,790,151	2,211,148	2,640,436	3,077,973
Total Equity	1,443,470	1,521,488	1,774,115	2,106,343	2,502,162	2,951,440	3,409,975	3,877,751	4,354,736	4,840,889
Total Liabilities and Equity	3,334,207	3,029,992	2,873,355	2,749,636	2,644,447	3,098,690	3,562,367	4,035,468	4,517,970	5,009,837

Feasibility Indicators

There are more than one method to calculate the discounted cash flow statement. However, in this study, WACC was used to calculate the discounted cash flows and net investment value. The Company's financing structure is based on equity and loans, therefore the discounted rate should be adjusted according to WACC based on the following assumptions, the following table illustrates the net expected free cash flow of the project:

Table 40: Free Net Cash flows Table

Net Cashflows	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	القيمة النهائية
Net Free Cashflows	-3,552,297	477,26	382,14	525,11	563,83	584,77	591,63	602,76	613,96	625,22	636,52	8,902,824
Discount Factor	1.00	0.81	0.72	0.65	0.58	0.52	0.47	0.42	0.38	0.34	0.30	0.30
Net Present Value for Cash Flows	-3,552,297	384,334	276,154	340,528	328,118	305,381	277,259	253,487	231,699	211,734	193,441	2,705,583

Table below illustrates payback period for the project, as it is one of the indicators which investors care about before taking the investment decision as they need to know when the project will return the invested amount of money. Payback period definition is the total required period so that the project generates a total money equal to the total invested capital expenditure, as investor is always looking to return the full invested amount of money at the earliest possible.

Table 41: Payback Period

Payback Period	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Free Cashflows	-3,552,297	477,262	382,141	525,110	563,834	584,774	591,638	602,767	613,965	625,220	636,525

Project Value Returned	3,552,297	3,075,035	2,692,894	2,167,784	1,603,950	1,019,177	427,539	-175,228	-789,193	-1,414,413	-2,050,938
Payback Period (Year)	6	1	1	1	1	1	1	0	0	0	0

Table 42: Financial Analysis Results

Weighted Average Cost of Capital (WACC)	%11.44
Net Present Value for Cashflows	1,955,420
Payback Period	6
Internal Rate of Return	%19.25

Sensitivity Analysis

Sensitivity analysis is conducted to investigate the effects of changes in significant inputs of the financial analysis. This includes changes in revenues, total investment costs, and operating costs.

Table 43: Sensitivity Analysis

Sensitivity Analysis	Internal Rate of Return	Payback Period	WACC
Original Scenario	%19.25	6	11.44%
Revenues declined by 10%	%15.54	8	11.44%

Operating Expenses Increased by 10%	%14.66	8	11.44%
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Conclusions and Recommendations

Based on the profitability analysis and considering that project internal rate of return is higher than WACC, it is concluded that the project is feasible as the net present value for the project is positive 1,955,420 Jordan Dinars considering that the project provides 80 Job Opportunities for the governorate residents.